

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: Nairobi 532520

ANNOUNCEMENT OF RESULTS FOR THE TWELVE MONTHS ENDED 31ST DECEMBER 2012

The Board of Directors is pleased to announce the company's results for the year ended 31st December 2012. The figures have been extracted from the company's audited financial statements which have received an unqualified audit opinion.

STATEMENT OF FINANCIAL POSITION			
	As At 31.12.12		As At 31.12.11
CAPITAL EMPLOYED	Shs'000		Shs'000
Share capital	24,000		24,000
Retained Earnings & reserves	209,233		116,710
Proposed dividends	9,000		9,000
Total equity	242,233		149,710
Non Current Liabilities			
Deferred income tax	49,252		20,195
Post employment benefit obligation	18,000		15,850
	67,252		36,045
Total equity and noncurrent liabilities	309,485		185,755
REPRESENTED BY			
Noncurrent assets			
Property, plant and equipment	2,731		2,882
Biological assets	186,530		88,020
	189,261		90,902
Current assets			
Receivables from parent company	123,506		90,400
Current income tax asset	296		3,892
Inventory	36		-
Cash at bank and in hand	6,922		6,048
	130,760		100,340
Current Liabilities			
Trade and other payables	10,536		5,487
	10,536		5,487
Net current assets	120,224		94,853
	309,485		185,755

CONDENSED STATEMENT OF CASH FLOWS			
	As at 31 Dec 2012 shs '000		As at 31 Dec 2011 shs '000
Net cash from operating activities	9,874		8,954
Net cash used in investing activities	0		(140)
Net cash used in financing activities	(9,000)		(9,000)
Increase in cash and cash equivalents	874		(186)
Movement in cash and cash equivalents			
At start of year	6,048		6,234
Increase	874		(186)
At end of September	6,922		6,048

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	2012 Shs '000		2011 Shs '000
Turnover	116,012		102,504
Profit before income tax	146,621		59,849
Income tax (expense)	(44,787)		(19,365)
Profit attributable to the shareholders	101,834		40,484
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	84.86		33.74
Total Dividends per share (Shs)	7.5		7.5

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2011	24,000	86,327	9,000	119,327
Total recognised income for 2011	-	39,383	-	39,383
Dividends				
-Final Paid For 2010			(9,000)	
-Proposed final for 2011		(9,000)	9,000	
Balance as at 31 December 2011	24,000	116,710	9,000	149,710
Balance at 1 January 2012	24,000	116,710	9,000	149,710
Total recognised income for 2012	-	101,523	-	39,383
Dividends				
-Final Paid For 2011			(9,000)	
-Proposed final for 2012		(9,000)	9,000	
Balance as at 31 December 2012	24,000	209,233	9,000	242,233

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COMMENTARY

Performance

In the Year ended 2012, the company produced 2,810,990 kilograms of green leaf, which in turn was manufactured into 650,988 kilograms of black tea. This was a 4% increase in black tea volumes compared to 2011.

Total revenue increased by 13% from Ksh 102.5 million in 2011 to Ksh. 116.0 million in 2012. This was attributed to fair weather conditions in the fourth quarter of the year and favourable tea market prices which saw a rise in gross sales average from Ksh 221 in 2011 to Ksh 236 in 2012.

The company posted a pre-tax profit of Ksh. 146.6 million in the year ended 31st December 2012 compared to Ksh.59.8 million in the year ended 31st December 2011. The 145% increase in pre-tax profits compared to same period previous year is as a result of a 98% increase in the value of biological assets, a 74% increase in finance income and a 13% increase in Turnover.

Dividend

The Directors recommend a final dividend of Ksh. 7.50 per share, subject to approval by the shareholders at the Annual General Meeting scheduled for Friday 17 May 2013. The dividend shall be subject to withholding tax where applicable and will be payable to members on the register on 5th of April 2013 and the cash amount to be paid is Ksh. 9,000,000.00.

Prospects

The USD tea prices continue to be favourable and the first quarter crop is positive with good rains. If these conditions are sustained, 2013 should be a normal year.



INVOLATA ORIWO
COMPANY SECRETARY
15th March 2013